

Departure of Bank Indonesia governor increases policy uncertainty

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Resignation of BI Governor has increased uncertainty over Indonesia's monetary policy outlook, with a focus on whether his successor will preserve the|||||||

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Indonesia

By Olga Letticia

Short-term trajectory:

Long-term trajectory:

Policy uncertainty persists after Bank Indonesia (BI) governor's exit. On 27 July, the government and BI announced the resignation of Governor Perry Warjiyo. The development has renewed scrutiny of Indonesia's monetary policy outlook and concerns over central bank independence (see: Bank Indonesia governor's exit fuels central bank independence concerns, 27 July 2026).

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Acting Governor Destry Damayanti pledged policy continuity and urged markets to remain calm. On 27 July, she and other members of the Financial System Stability Committee met with President Prabowo Subianto to discuss economic conditions and reaffirm BI's commitment to maintaining rupiah and financial stability. Ratings agency S&P Global said Perry's resignation increases uncertainty about the future direction of monetary policy, although it did not affect Indonesia's sovereign ratings.

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Former BI governor Burhanuddin Abdullah has emerged as an early candidate to replace Perry, although Coordinating Economic Minister Airlangga Hartarto said the public should wait for the president to submit nominees to parliament. Burhanuddin led BI from 2003 to 2008 and chaired the Prabowo's expert council during the 2024 presidential campaign. Finance Minister Purbaya Yudhi Sadewa has also drawn attention as a potential successor; he has been seemingly been angling for the role. Reports suggest Perry and Purbaya clashed over monetary policy, liquidity management, and BI rupiah securities, though those tensions probably did not drive the resignation. Media reports have also revived speculation that the Corruption Eradication Commission (KPK) could question Perry in its investigation into BI's corporate social responsibility program. Perry is not a suspect and KPK said any decision to question him would depend on investigative needs.

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Market reaction has been modest so far, likely because authorities quickly announced Destry as interim governor and signaled near-term policy continuity. As of 29 July, the rupiah is at 18,080 per dollar, down around 1% since Perry's resignation. Investors are now focused on the selection of a permanent governor, and the key watchpoint is whether that choice will suggest further erosion of BI's independence and less willingness to raise interest rates to support the rupiah if needed.

Indonesia's new financial center law aims to attract foreign capital. On 21 July, parliament ratified the International Financial Centre (IFC) Law, creating a legal framework for special financial zones that offer generous tax incentives, permit foreign currency transactions, and establish dedicated commercial courts and regulators.

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The legislation supports Prabowo's ambition to deepen Indonesia's financial markets and achieve 8% economic growth by 2029. The government hopes the IFCs will attract global banks, asset managers, family offices, insurers, and fintech firms by offering a more competitive tax and regulatory environment. Jakarta will probably host the first center, with Bali also under consideration.

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The law marks a significant step toward financial liberalization and could make Indonesia more attractive to international investors. It also suggests that Prabowo's administration recognizes the need to restore investor confidence after months of concern about governance, fiscal sustainability, and policy predictability.

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However, Indonesia will need broader reforms to improve competitiveness, including measures to strengthen legal certainty, regulatory credibility, and policy predictability. The implementing regulations will be a key watchpoint, especially whether they deliver the institutional certainty needed to attract global financial firms beyond the incentives in the law.

Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

Larger cash handouts will modestly boost government support. Prime Minister Anwar Ibrahim announced that the government will expand its two flagship cash assistance programs: Sumbangan Asas Rahmah (SARA), which provides aid to all adult Malaysians, and Sumbangan Tunai Rahmah (STR), which targets lower-income recipients.

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The move is in line with expectations, given the government's poor performance in recent polls and the likelihood of similar setbacks in upcoming elections (see: Anwar's expected state poll setbacks will slow fiscal consolidation , 16 June 2026). SARA and STR have become more popular amid persistent cost-of-living pressures, particularly higher food prices. Anwar has not disclosed the size or timing of the increase, but he will likely include it in the October budget for disbursement next year.

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Higher cash assistance will increase fiscal pressure. The government allocated 15 billion ringgit (\$3.7 billion) this year for the SARA and STR programs, about 3.6% of its total annual budget. Spending has also risen sharply because the administration kept fuel subsidies in place during the energy crisis. Additional spending will make it harder to keep reducing the fiscal deficit relative to GDP, although strong economic performance would help offset the impact somewhat.

Financial malfeasance report will likely dent BN's popularity. The government announced that a long-withheld Royal Commission of Inquiry (RCI) report into Tabung Haji, a government-controlled pilgrims' savings fund, will be released today after the cabinet decided to disclose it.

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The government established the RCI in 2021 to investigate governance, operational, and asset-management issues at Tabung Haji from 2014 to 2020. The Barisan Nasional (BN) coalition held power for most of that period. Authorities launched the inquiry because of concerns about the fund's governance and financial health. The RCI completed its report in 2023, but Anwar said the government withheld publication because it feared a run on deposits.

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The findings will likely blame senior BN figures for the fund's financial mismanagement. BN is currently Anwar's governing partner but has been competing against Anwar's Pakatan Harapan coalition in recent and upcoming state elections. The decision to release the report likely aims to weaken BN's support, especially among ethnic Malay Muslims, who make up most of Tabung Haji's depositors.

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The timing of the report's publication is also important, given the Negeri Sembilan state election on 1 August. BN is still expected to win, though, given strong momentum and local factors. Additionally, Anwar will likely continue using such "lawfare" tactics to discourage BN from withdrawing support for the federal government.

Philippines

By Peter Mumford

Short-term trajectory:

Long-term trajectory:

Marcos intensifies push on energy security and electric vehicles. President Ferdinand Marcos delivered his annual State of the Nation Address on 27 July against the backdrop of a sharp economic slowdown, driven by the global energy crunch and domestic fallout from the flood-control projects scandal.

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The president highlighted energy security and power sector reform as priorities for his final two years in office. The Philippines has suffered more than regional peers from the Iran War, partly because it has passed on higher global energy prices to consumers. Marcos promoted nuclear and hydrogen energy to strengthen long-term energy security, though both remain underdeveloped and face technical and

financing challenges. He also pledged further action to reduce electricity prices, which have been a key deterrent to FDI. Marcos called for changes to how electricity bills are calculated so that the cost of transmission losses would shift from consumers to power distributors.

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Marcos also promoted electric vehicles (EVs) to reduce the country's dependence on global oil and gas. He said the government aims for EVs to account for half of all vehicles on the road by 2040 and will gradually convert the government fleet to EVs. His administration has also extended the waiver on import tariffs on EVs through 2028.

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Separately, Marcos suggested that he still views corruption in public projects as a priority. He said he expects the Office of the Ombudsman to soon file a case against Martin Romualdez, his cousin and former speaker of the House of Representatives.

ASEAN

By Melinda Hoe

Code of Conduct for the South China Sea is unlikely to be concluded by year-end. ASEAN held its Foreign Ministers' Meeting and related meetings from 20-24 July. Chinese Foreign Minister Wang Yi and US Secretary of State Marco Rubio also attended. In a joint statement, ASEAN foreign ministers welcomed "significant progress" on the Code of Conduct. Philippine Foreign Affairs Secretary Theresa Lazaro expressed cautious optimism the agreement could be concluded by the November ASEAN Summit, noting that all countries had shown "political will."

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Despite the optimistic language, China and ASEAN countries still differ on core issues and are unlikely to finalize the code anytime soon. Key sticking points include geographic boundaries and whether the code would be legally binding. Manila has shown the greatest willingness to push back against Beijing and is unlikely to make major concessions to secure an agreement.

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Lazaro and Wang held their first bilateral meeting since 2024 on the sidelines of the event. Tensions between Manila and Beijing remain elevated after the Philippines accused China Coast Guard personnel of striking a navy serviceman with a wooden baton at Second Thomas Shoal days prior to the meetings. Nonetheless, the risk of a serious conflict between the Philippines and China remains low. Beijing wants to avoid any escalation that could trigger US security commitments or upend the US-China truce, while Manila likely understands that its relations with Washington would come under strain if it is seen as the aggressor.

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Separately, Rubio affirmed the US commitment to the region, including through a \$1.5 billion investment platform for the Indo-Pacific focused on energy infrastructure, including liquefied natural gas. He did not publicly address the South China Sea clash, although the State Department had previously condemned China's "dangerous and aggressive action."

Australia

By Fadli Yusoff

Australia deepens South China Sea role through aid to the Philippines. Australian Foreign Minister Penny Wong announced a security package worth 413 million pesos (\$6.7 million) to provide underwater drone equipment and training for the Philippine Coast Guard (PCG).

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The move aims to strengthen the PCG's capacity for maritime surveillance, search-and-rescue, environmental protection, and prevention of illegal fishing. Its main unstated objective is likely to help Manila monitor and document sustained Chinese naval activity in disputed South China Sea waters, while reducing its reliance on costly and potentially escalatory crewed patrols.

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Australia is seeking to strengthen its standing as a regional security provider as it competes with China for influence in Southeast Asia and the Pacific Islands. Aid to the Philippines is part of Canberra's 160 million Australian dollars (\$112 million), ten-year program to expand maritime cooperation across Southeast Asia.

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The move also sends a positive signal to Washington, which has pressed US allies in the Indo-Pacific to invest more in regional deterrence capabilities. In June, Washington delivered four autonomous surface and underwater vehicles to the Philippine military.

Charting ASEAN

Despite Washington's recurring tariff threats, ASEAN economies continue to increase exports to the US. Vietnam remains the region's largest goods exporter to the US, accounting for about 40% of the total. Thailand has posted the sharpest increase since January 2024, with monthly export value more than doubling, partly because of the tech boom. Strong export growth may help explain why neither Vietnam nor Thailand has finalized an Agreement on Reciprocal Trade (ART) with the US. Even so, both countries may now face greater pressure after the Office of the US Trade Representative concluded its Section 301 investigation into forced labor. Indonesia, Malaysia, and Cambodia, which have US ARTs, secured a lower headline rate of 10%, compared to 12.5% for the Philippines, Singapore, Thailand, and Vietnam (see: Philippines could gain US tariff advantage over regional peers , 28 July 2026).

Event calendar

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